

Metric Framework Design: Digikala Case Study

How would I define success metrics for Digikala?

An independent product-thinking exercise applying North Star Metric methodology to a real, publicly known business — Digikala's marketplace.

1. Business definition

Digikala is a two-sided marketplace, not a simple online store. It connects two distinct user groups:

- **Buyers** — people who purchase products on the platform.
- **Sellers** — independent businesses that list and sell products through Digikala's marketplace.

Roughly 70% of total marketplace sales (by value) are generated by independent third-party sellers rather than Digikala's own first-party inventory. This means Digikala functions more as infrastructure and demand-generation for an ecosystem of sellers than as a direct retailer — so any success metric needs to reflect the health of both sides of that ecosystem, not just Digikala's own sales.

2. Business model

Digikala runs a hybrid revenue model:

- **First-party sales** — Digikala buys and resells inventory directly.
- **Marketplace commission** — a take rate on sales made by independent sellers.
- **Value-added services** — fulfillment, warehousing, packaging, content production, marketing, and after-sales support sold to sellers (similar in spirit to Amazon FBA).

Because Digikala is simultaneously a platform owner and, at times, a direct seller, the metric framework below is built around the ecosystem's core value exchange rather than Digikala's revenue alone.

3. North Star metric

The core value Digikala creates is: connecting a buyer to a seller. That connection is only realized when a transaction is successfully completed end-to-end.

Candidates considered

- **Product page views / visits** — Reflects demand but is easy to inflate with low-value traffic; doesn't capture whether value was actually exchanged.
- **GMV** — Correlates with revenue but rewards discounting and doesn't penalize cancellations or returns.
- **Monthly active users** — Reflects engagement but a user can be “active” without transacting.
- **Completed orders** — Directly reflects the core value exchange: a buyer received what a seller sold. Sensitive to both demand and fulfillment quality.

North Star metric

Completed orders (per month)

The number of orders that were successfully fulfilled and not cancelled or returned — the clearest signal that the buyer–seller connection actually delivered value.

4. Guardrail metrics

Guardrails protect against optimizing Completed Orders in ways that damage the ecosystem:

- **Customer satisfaction (CSAT / return rate)** — prevents pushing order volume by lowering seller quality bars.
- **Seller churn** — prevents extracting short-term order growth at the expense of seller sustainability.
- **Contribution margin** — prevents driving order volume through unsustainable discounting.

5. Metric tree

Completed Orders sits at the center of two branches: an upward branch showing how it converts into business value, and a downward branch showing what drives it.

5.1 Upward branch — from orders to revenue

Revenue

$\text{GMV} \times \text{take rate} - \text{operating costs}$

Guardrail: secondary revenue (ads, seller fees) should not substitute for a healthy take rate.

GMV

$\text{Completed orders} \times \text{average order value (AOV)}$

Completed orders

North Star metric

5.2 Downward branch — what drives orders

Completed orders

$\text{Total orders} \times (1 - \text{cancellation rate})$

Cancellation rate

$(\text{cancellations} + \text{returns} + \text{special cases}) / \text{total orders}$

Total orders

$\text{Active users} \times \text{repeat purchase rate}$

Active users

$\text{New users} + \text{returning users}$

Returning users

$\text{Existing user base} \times \text{retention rate}$

New users

Visitors × conversion rate (summed across acquisition channels)

Conversion rate

Derived from the funnel: visit → add to cart → purchase

Stage-by-stage drop-off analysis identifies where the largest share of visitors is lost.

Note: This framework was built independently through first-principles reasoning about Digikala's public business model, not from internal data. It demonstrates a structured approach to North Star metric selection, guardrail design, and metric-tree decomposition.